

“A billion here, a billion there, and pretty soon you're talking real money!” he said.

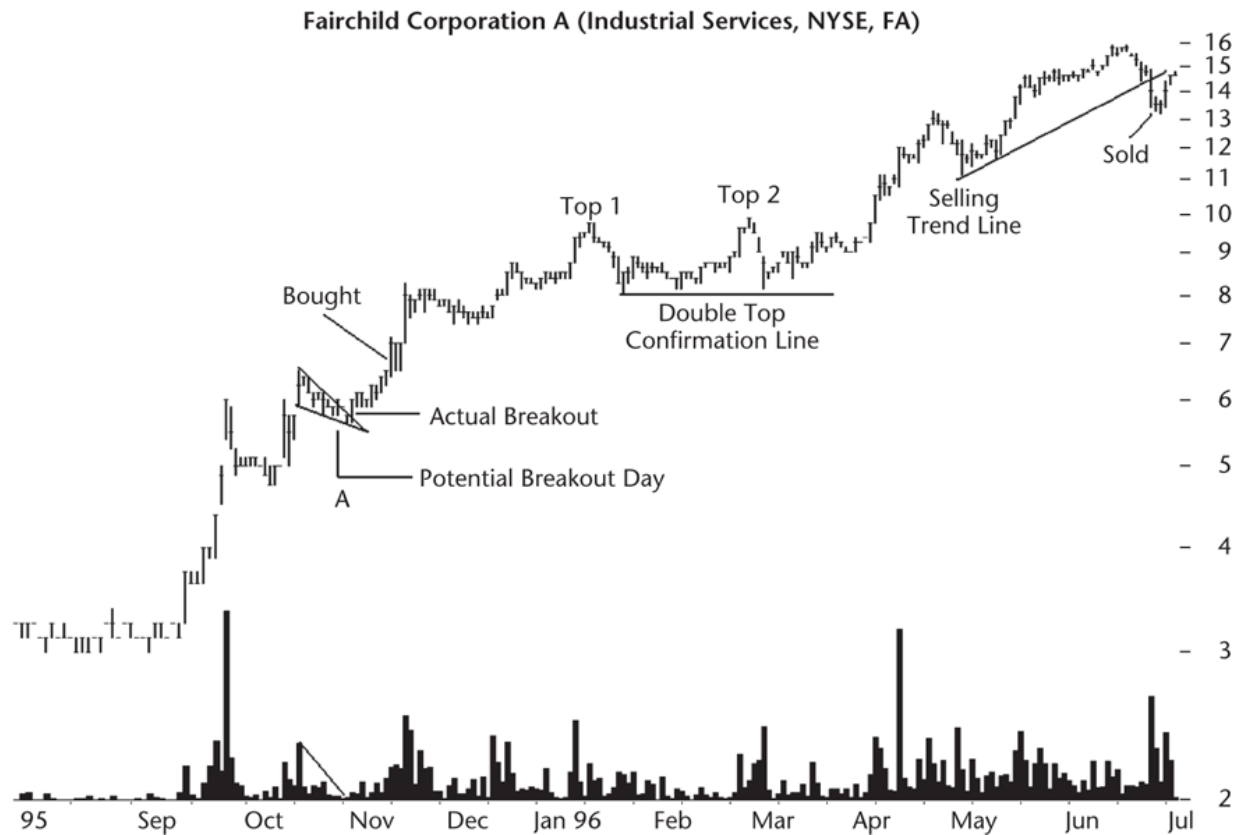


Figure 35.4 A high, tight flag with price stair-stepping higher. How do you trade this high, tight flag?

He backed off for a few days and waited for the stock to climb above the flagpole top (6.50). When it did, he piled into the stock again at 6.50. He considered the bottom of the flag a support area, so that is the price he used as his stop loss. This time, however, he used a mental stop, one that is not placed with a broker but kept in his head. There is really no problem with a mental stop, providing an investor or trader is willing to sell should price hit the stop.

Now and again, John looked at the price chart just to see how the trade was doing. The stock climbed to a support zone at 8 and went horizontal for 3 months. Toward the end of that time, he raised his mental stop to 7.75.

The stock climbed again. It ignored the double top formed by peaks in early January and late February, and so did John. By April the stock posted a new